

Superior Court of the State of California, County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C16

HON. JUDGE CARMEN R. LUEGE

Date: September 11, 2026

Posted: September 10, 4:30 PM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative Rulings: The Court will endeavor to post tentative rulings on the Court's website by 4:30 p.m. on Thursday. Do NOT call the Department for a tentative ruling if none is posted. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5216. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

Non-Appeareances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

Remote Appearances: Department C16 permits non-evidentiary proceedings, including law and motion, to be conducted remotely. *If you are appearing remotely:* (1) all counsel and self-represented parties appearing for such hearings **must**, prior to 10:00 a.m. on Friday, check-in online via the Court's civil video appearance website at [Civil Appearance Procedure and Information | Superior Court of California | County of Orange \(occourts.org\)](https://www.occourts.org); (2) participants will then be prompted to join the courtroom's Zoom hearing session; and (3) the calendar will be displayed and participants will then be instructed to rename their Zoom name to include their hearing's calendar number. Check-in instructions and an instructional video are available on the court's website. Attorneys **shall** comply with Local Rule 375(c) which governs "Decorum for In-Person and Remote Court Appearances." (<https://www.occourts.org/system/files/hr/div3.pdf>.)

#	Case Name	Tentative
49	Reichert vs. Wightman 25-01481529	1. Motion to Be Relieved as Counsel of Record 2. Motion to Be Relieved as Counsel of Record No Tentative Ruling. Parties to Appear.
51	Cui vs. Tang 22-01258644	Motion to Expunge Lis Pendens Plaintiff/Cross-Defendant Chelsea Cui’s motion to expunge the Notice of Pendency of Action recorded against the property located at 65 Dorado Irvine, California, APN 591-361-19 is GRANTED. Code of Civil Procedure section 405.30 authorizes a party or nonparty “with an interest in the real property” to file a motion to expunge the lis pendens. The court “shall order the notice expunged if the court finds that the pleading on which the notice is based does not contain a real property claim” (Code Civ. Proc., § 405.31), or the real property claim “lacks evidentiary merit.” (<i>Park 100 Investment Group II, LLC v. Ryan</i> (2009) 180 Cal.App.4th 795, 808.) The party opposing a motion to expunge a lis pendens has the burden to show that a real property claim has been alleged and has probable validity based upon a preponderance of the evidence. (Code Civ. Proc., §§ 405.30, 405.32.) Code of Civil Procedure section 405.4 provides: “ ‘Real property claim’ means the cause or causes of action in a pleading which would, if meritorious, affect (a) title to, or the right to possession of, specific real property” (Code Civ. Proc., § 405.4. This section “defines the type of claim which must be pleaded to support a <i>lis pendens</i>. If the pleading filed by the claimant does not properly plead a real property claim, the lis pendens must be expunged upon motion under CCP 405.31.” (<i>BGI Associates, LLC v. Superior Court</i> (1999) 75 Cal.App.4th 952, 956 [citation omitted].) In deciding whether the pleading contains a real property claim, the court must engage in a demurrer-like analysis. The court considers the specific claim as pled to determine whether that claim is a real property claim. Only allegations are examined, not factual evidence. (<i>Kirkeby v. Superior Court</i> (2004) 33 Cal.4th 642, 650.)

On March 17, 2025, Cross-Complainants Lina Tang, Qingchuang Fei, and Supreme Beauty Life filed a Notice of Pendency of Action (“Lis Pendens”). (ROA 171.) The Lis Pendens states that Cross-Complainants “brought an action affecting title to the right to possession of the real property commonly known as 65 Dorado Irvine, CA 92618, APN: 591-361-19.” (*Id.* at p. 2, Ins. 6-8.) The pleading at issue in connection with the Lis Pendens is the Second Amended Cross-Complaint (“SAXC”) filed on March 12, 2025. (ROA 165.)

The SAXC’s seventeenth cause of action alleges Cross-Defendants Cui and Wu purchased property in Irvine (the “Property”). (SAXC ¶¶ 37, 174 [ROA 165].) In 2019, Wu quitclaimed his interest in the Property to Cui. (*Id.*) On October 5, 2023, Cui transferred the Property from Cui’s name to an irrevocable trust for which Cui’s mother, Xinfen Wang, is the trustee. (*Id.*) Cross-Complainant Fei learned that Cui’s only asset in the United States is the Property in Irvine. (*Id.*) The SAXC alleges Cui transferred the Property to Xinfen Wang to avoid paying a judgment to Cross-Defendants. (*Id.*) Cui intended to remove or conceal the Property to make it more difficult for Cui’s creditors to collect payment. (*Id.* at ¶ 37.)

The SAXC asserts a “real property claim.” If successful, Cross-Complainants’ fraudulent transfer claim would invalidate the Irvine property’s transfer to the irrevocable trust. (*Mira Overseas Consulting Ltd. v. Muse Family Enterprises, Ltd.* (2015) 237 Cal.App.4th 378, 385 [“ ‘a fraudulent conveyance action seeking avoidance of a transfer ... clearly “affects title to ...” real property and is therefore a real property claim for the purposes of the lis pendens statutes’ ”].)

This alone, however, is not sufficient. (See *Kirkeby v. Superior Court* (2004) 33 Cal 4th 642, 651 [claimant must establish probable validity of the real property claim by a preponderance of the evidence].) Thus, as the party opposing a motion to expunge a lis pendens, Cross-Complainants bear the burden to show that the real property claim has probable validity based upon a preponderance of the evidence. (*Nunn v. JPMorgan Chase Bank, N.A.* (2021) 64 Cal.App.5th 346, 363, citing Code Civ. Proc., §§ 405.32, 405.30.)

Cross-Complainants contend that the facts pled in the SAXC satisfy their burden. The only evidence submitted by Cross-Complainants is the Declaration of Lynne M. Ciani, Cross-Complainants’ counsel. Attorney Ciani, however, declares only that she will spend a total of 7 hours of attorney time in connection with the instant motion. (Ciani Decl. ¶ 2.) This is insufficient for Cross-Complainants to meet their burden to show their claim for fraudulent transfer has probable validity by a preponderance of evidence. The motion to expunge lis pendens is granted.

		Pursuant to Code of Civil Procedure section 405.38, the prevailing party on a motion to expunge is entitled to recover its attorney fees and cost unless specified findings were made supporting the denial of fees. (<i>Castro v. Superior Court</i> (2004) 116 Cal.App.4th 1010, 1018.) Cross-Defendant Cui is the prevailing party for purposes of section 405.38. Cross-Defendant Cui realized her litigation objectives by successfully bringing the motion to expunge lis pendens. The Court awards attorney fees to the prevailing party Cross-Defendant Cui in the sum of \$2,475 (4.5 hours x 550). Cross-Complainants shall pay the attorney fees directly to Cross-Defendant Cui's attorney of record within 30 days of notice of ruling. Cross-Defendant Chelsea Cui to give notice.
53	Phan vs. Bleu Restaurant and Dancing 24-01448536	Motion to Quash Service of Summons The Motion to Quash Service of Summons brought by Specially Appearing Defendant Kenney Nguyen is GRANTED, pursuant to Code of Civil Procedure section 418.10, subd. (a)(1). The service of the summons and complaint which was purportedly completed on May 1, 2026, as reflected in the Proof of Service filed on May 4, 2026 (ROA No. 75), is quashed. The Request for Judicial Notice made by Specially Appearing Defendant Kenney Nguyen (ROA No. 83) is GRANTED, pursuant to Evidence Code section 452, subdivisions (d) and (h). (See also <i>Poseidon Development, Inc. v. Woodland Lane Estates, LLC</i> (2007) 152 Cal.App.4th 1106, 1117.) "A defendant on or before the last day of his or her time to plead or within any further time that the court may for good cause allow, may serve and file a notice of motion...[t]o quash service of summons on the ground of lack of jurisdiction of the court over him or her." (Code Civ. Proc., § 418.10, subd. (a)(1).) "In the absence of a voluntary submission to the authority of the court, compliance with the statutes governing service of process is essential to establish that court's personal jurisdiction over a defendant..." (<i>Floveyor Internat., Ltd. v. Superior Court</i> (1997) 59 Cal.App.4th 789, 793.) "A party cannot be properly joined unless served with the summons and complaint; notice does not substitute for proper service. Until statutory requirements are satisfied, the court lacks jurisdiction over a defendant." (<i>Ruttenberg v. Ruttenberg</i> (1997) 53 Cal.App.4th 801, 808.)

		Additionally, “[w]hen a defendant challenges that jurisdiction by bringing a motion to quash, the burden is on the plaintiff to prove the existence of jurisdiction by proving, inter alia, the facts requisite to an effective service.” (<i>Dill v. Berquist Construction Co.</i> (1994) 24 Cal.App.4th 1426, 1439-1440.) A responding plaintiff is required to show “at least substantial compliance with the relevant statutory requisites for service....” (<i>Lebel v. Mai</i> (2012) 210 Cal.App.4th 1154, 1165.) While Plaintiff filed a Proof of Service on May 4, 2026, executed by a Registered Process Service, which purports to establish substituted service on “Kenny Nguyen” (See ROA No. 75), Specially Appearing Defendant Kenney Nguyen has sufficient disputed it. (See <i>American Express Centurion Bank v. Zara</i> (2011) 199 Cal.App.4th 383, 390.) Defendant Kenney Nguyen declares the property 7112 Blue Sails Drive in Huntington Beach was sold by him and his wife, on September 26, 2023. (See ¶13 of Kenney Nguyen Declaration and Exhibit C thereto.) The attached Grant Deed confirms the transfer from Kenney K. Nguyen and Trang T. Nguyen, as Husband and Wife, to ThoaiVy LLC, on September 26, 2023. (Ibid; See also Exhibit 2 of RJN [ROA No. 83].) In addition to the above, Defendant offers the Declaration of Camilla Nguyen, the Managing Member of ThoaiVy, LLC, who declares that ThoaiVy, LLC purchased the property on September 26, 2023. (¶2-¶4 of Camilla Nugyen Declaration.) “From the date the property was acquired, until the present time, KENNEY NGUYEN has not occupied the property, nor has he operated any form of business enterprise from the location of this property.” (¶6 of Camilla Nguyen Declaration.) In addition to the above, Ms. Camilla Nguyen declares: “While my last name is also ‘Nguyen,’ I am not related to KENNEY NGUYEN and any representation to the contrary is completely false.” (¶8 of Camilla Nguyen Declaration.) To complete substituted service pursuant to Code of Civil Procedure section 415.20, subdivision (b), a copy of the summons and complain must be left at “the person’s dwelling house, usual place of abode, usual place of business, or usual mailing address other than a United States Postal Service post office box, in the presence of a competent member of the household or a person apparently in charge of their office....” (Code Civ. Proc., § 415.20, subd. (b).) Based on the evidence submitted, the address used for service is neither the residence nor usual place of business of Kenney Nguyen and, consequently, the identified service fails to comply with Code of Civil Procedure section 415.20, subdivision (b).
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		Additionally, as the instant Motion is unopposed, Plaintiff has not rebutted the above evidence nor demonstrated “facts requisite to an effective service.” (<i>Dill v. Berquist Construction Co.</i> (1994) 24 Cal.App.4th 1426, 1439-1440.) Thus, the Motion to Quash is GRANTED.
54	RX Development Associates, INC. vs. Selective Diagnostics, INC. 21-01190952	Motion to Set Aside/Vacate Default and Judgment No Tentative Ruling. Parties to Appear.
55	Khairalla vs. Mercedes-Benz USA, LLC 25-01523475	Motion to Compel Arbitration Defendant Mercedes-Benz USA, LLC’s motion to compel arbitration and stay this case is GRANTED. <u>The Arbitration Agreement</u> Defendant MBUSA contends the arbitration agreement is located within the Lease Agreement. Defendant purports to attach the Lease Agreement as Ex. 1 to the Declaration of Remillard. (ROA 13.) However, as noted by Plaintiff, Ex. 1 is not the Lease Agreement, but other documents relating to the subject vehicle. Defendant concedes this attachment was inadvertent, points out that the relevant terms of the arbitration agreement were stated verbatim in the motion, and attaches the Lease Agreement to the Supplemental Declaration of Tingen. (ROA 42.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. [Citation]. A movant can bear this initial burden ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signatures.’ [Citation.] At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and

		support the allegation as provided in rule [3.1330].” (<i>Iyere v. Wise Auto Group</i> (2023) 87 Cal.App.5th 747, 755.) Per California Rules of Court, Rule 3.1330, “[t]he provision must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” The Court will consider the Lease Agreement that was inadvertently left out of the Declaration of Remillard as relevant portions of the arbitration agreement were repeated verbatim in the motion. The arbitration agreement can be found on Pgs. 4-5 of 10 in the Lease Agreement, attached as Ex. 1 to the Supplemental Declaration of Tingen. The Lease Agreement defines “you”, “your”, and “yours” refer to the Lessee and any Co-Lessee; “we”, “us”, and “our” refer to the Lessor and, after the lease is assigned, to Mercedes-Benz Vehicle Trust, or its successors and assigns; “Assignee” refers to Mercedes-Benz Vehicle Trust or its successors and assigns. (See, Lease Agreement, pg. 1.) The Lease Agreement provides in pertinent part: Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action. Any claim or dispute is to be arbitrated on an individual basis and not as a class action. The arbitration shall be administered by the American Arbitration Association, or by any other organization that you may choose, subject to our or a Third Party Beneficiary’s approval. You may get a copy of the rules of the American Arbitration Association by visiting its website at www.adr.org. ... This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq.). ... (See, Lease Agreement, pg. 4-5 of 10, “Important Arbitration Disclosures.”)
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The FAA Applies

Preliminarily, both the Federal Arbitration Act and the California Arbitration Act require the existence of a valid Arbitration Agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and Code of Civ. Proc. §1281.2).

The right to arbitration depends upon contract, and thus, a motion to compel arbitration is akin to a suit in equity seeking specific performance of that contract. (See *Little v. Pullman* (2013) 219 Cal.App.4th 558, 565.) The parties may, among other things, agree that the arbitration agreement will be controlled by the Federal Arbitration Act (“FAA”), which includes both procedural and substantive provisions. (See *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122.)

The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) The United States Supreme Court has described this provision as reflecting both a “liberal federal policy favoring arbitration,” and the “fundamental principle that arbitration is a matter of contract.” (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.)

On a motion to compel arbitration under the FAA, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].)

“[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (*Green Tree Fin. Corp., supra*, 531 U.S. at p. 91.)

The Federal Arbitration Act governs here as the arbitration agreement expressly provides that it “shall be governed by the Federal Arbitration Act (9 USC 1, et seq.).” (Supp. Decl. of Tingen, Ex. 1 at p. 4.) It is undisputed that the FAA applies here.

Existence of Agreement to Arbitrate

A party moving to compel arbitration bears an initial burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party “can meet its initial burden

	by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature.” (<i>Bannister v. Marinidence Opco, LLC</i> (2021) 64 Cal.App.5th 541; see also <i>Espejo v. Southern California Permanente Medical Group</i> (2016) 246 Cal.App.4th 1047, 1060 [holding same].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (<i>Condee v. Longwood Management Corp.</i> (2001) 88 Cal.App.4th 215, 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. Here, MBUSA meets its initial prima facie burden of establishing the existence of a written arbitration provision, in the Lease Agreement. The parties do not dispute that Plaintiff signed the Lease Agreement that contained the foregoing arbitration clause. Further, the arbitration agreement is broad enough to encompass these claims as it arises out of or relates to any resulting transaction or relationship arising out of the lease (including any such relationship with third parties who do not sign this contract). Plaintiff also argues that Defendant MBUSA has not shown Plaintiff refused to arbitrate, but, here, the fact that Plaintiff has already filed his lawsuit, “suffice[s] to show [his] refusal to arbitrate the controversy.” (<i>Hyundai Amco America, Inc. v. S3H, Inc.</i> (2014) 232 Cal.App.4th 572, 577–578.) <u>Mercedes’ Standing to Compel Arbitration</u> Although not a signatory to the agreement, MBUSA contends that it has standing to compel Plaintiff to arbitration because it is a third-party beneficiary to the agreement. Plaintiff, relying on <i>Ford Motor Warranty Cases</i> (2025) 17 Cal.5th 1122 contends that Defendant is not a third-party beneficiary to the contract and thus does not have standing to enforce the arbitration clause. Plaintiff also claims that even if Defendant does have standing, the warranty claims fall outside of the arbitration agreement. Plaintiff is also incorrect. “As a general rule, only a party to an arbitration agreement may enforce the agreement.” (<i>Felisilda v. FCA US LLC</i> (2020) 53 Cal.App.5th 486, 495). There are six theories by which a nonsignatory may compel or be bound to arbitrate. These theories are as follows: “ ‘(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary’ [citations].” (<i>Suh v. Superior</i>
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		<i>Court</i> (2010) 181 Cal.App.4th 1504, 1513 [collecting cases of each theory].) The California Supreme Court in <i>Ford Motor Warranty Cases</i> considered and ultimately concluded that equitable estoppel did not apply to bar the plaintiffs in that case from pursuing their remedies against Ford Motor Company in court. (<i>Ford Motor Warranty Cases</i> (2025) 17 Cal.5th 1122, 1126, 1133-1138.) But here, Defendant MBUSA invokes an entirely different theory for enforcement: third-party beneficiary. Third-party beneficiary doctrine provides that: “A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescinded.” (Civ. Code, § 1559.) A third party becomes a third-party beneficiary where an “intent to benefit [that] third person appears from the terms of the contract.” (See <i>Jensen v. U-Haul Co. of Calif.</i> (2017) 18 Cal.App.5th 295, 301-302 [internal quotes omitted].) “To show the contracting parties intended to benefit it, a third party must show that, under the express terms of the contract at issue and any other relevant circumstances under which the contract was made, (1) ‘the third party would in fact benefit from the contract’; (2) ‘a motivating purpose of the contracting parties was to provide a benefit to the third party’; and (3) permitting the third party to enforce the contract ‘is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.’” (<i>Ford Motor Warranty Cases</i> (2023) 89 Cal.App.5th 1324, 1337, citing <i>Goonewardene v. ADP, LLC</i> (2019) 6 Cal.5th 817, 830.) Here, the arbitration agreement expressly identifies Defendant MBUSA as a third-party beneficiary. (Tingen Supp. Decl., Ex. 1.) By expressly designating MBUSA as a third-party beneficiary entitled to enforce the arbitration agreement, the Lease Agreement expressly benefits—and communicates an intent to benefit—Defendant MBUSA. The Court finds that MBUSA is permitted to enforce the arbitration provision, which is consistent with the objectives of the contract and the reasonable expectations of the parties. As such, the Court finds the Goonewardene elements are met. <u>Waiver</u> Plaintiff next argues that even if the arbitration agreement is enforceable by Defendant MBUSA, it waived that right by requesting a jury trial, outlining when it was expected to be ready for trial and did not mention this motion in the CMC Statement. Thus, it submitted to this Court’s jurisdiction and took actions inconsistent with a clear intent to arbitrate. “ . . . California courts have found a waiver of the right to demand arbitration in a variety of contexts, ranging from situations in which the party seeking to compel arbitration has previously taken steps inconsistent with an intent to invoke arbitration [citations] to instances in
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	which the petitioning party has unreasonably delayed in undertaking the procedure. [Citations.] The decisions likewise hold that the bad faith or willful misconduct of a party may constitute a waiver and thus justify a refusal to compel arbitration. [Citations.]” (<i>St. Agnes Med. v. PacifiCare of Calif.</i> (2003) 31 Cal.4th 1187, 1196 (“St. Agnes”) overruled on other grounds in <i>Quach v. California Commerce Club, Inc.</i> (2024) 16 Cal.5th 562.) Here, Defendant MBUSA did not waive its right to demand arbitration. This motion was the first paper that constituted an appearance in this action and no Answer has been filed. The CMC statement was filed while this motion was already pending and before it was heard. And, as pointed out by Defendant in reply, CMC statements are mandatory filings. <u>Unconscionability</u> Unconscionability is one ground on which a court may refuse to enforce a contract, including an arbitration agreement. (Civ. Code §1670.5.) Whether a provision is unconscionable is a question of law. (Civ. Code §1670.5(a); <i>Flores v. Transamerica</i> (2001) 93 Cal. App. 4th 846, 851.) “If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.” (Civ. Code §1670.5(a); <i>Armendariz v. Foundation Health Psychcare Services, Inc.</i> (2000) 24 Cal. 4th 83, 122.) The absence of severability clause is irrelevant to the determination whether the offensive provisions are “severable” for purposes of unconscionability analysis. Severability is decided as a matter of state law. (<i>Terminix Int’l Co., LP v. Palmer Ranch Ltd. Partnership</i> (11th Cir. 2005) 532 F.3d 1327, 1331.) Unconscionability has a procedural and a substantive element: the procedural element focuses on the existence of oppression or surprise and the substantive element focuses on overly harsh or one-sided results. (<i>Armendariz v. Foundation Health Psychcare Services, Inc.</i> (2000) 24 Cal. 4th 83, 114.) To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: “...the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (<i>Armendariz v. Foundation Health Psychcare Services, Inc.</i> (2000) 24 Cal. 4th 83, 114; <i>Mercuro v. Superior Court</i> (2002) 96 Cal. App. 4th 167, 174-75.)
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Procedural Unconscionability

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal. App. 4th 1322, 1329.)

Procedural unconscionability is often found in contracts of adhesion – i.e. standardized contracts which, imposed and drafted by the party of superior bargaining strength, relegate to the subscribing party only the opportunity to adhere to the contract or to reject it. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 113.) “When the weaker party is presented the clause and told to take it or leave it without the opportunity for meaningful negotiation, oppress, and therefore procedural unconscionability, are present.” (*Szetela v. Discover Bank* (2002) 97 Cal. App. 4th 107, 114. See also *Lhotka v. Geographic Expeditions, Inc.* (2010) 181 Cal. App. 4th 816, 821-24 (finding take it or leave it contract for recreational activity procedurally unconscionable even though activity not a “necessity”).) A “meaningful opportunity to negotiate or reject the terms of a contract requires, at a minimum, that a party have reasonable notice of the opportunity to negotiate or reject the terms of the contract and an actual, meaningful, and reasonable choice to exercise that discretion. (*Circuit City Stores, Inc. v. Mantor* (9th Cir. 2003) 335 F. 3d 1101, 1106.)

Here, the agreement is a contract that was offered on a take-it-or-leave-it basis, which, in itself, “is sufficient to establish some degree of procedural unconscionability.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915, 190 Cal.Rptr.3d 812, emphasis added.)

Substantive Unconscionability

“Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create ‘overly harsh’ or ‘one-sided’ results.” (*Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 154, 177.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be ‘so one-sided as to ‘shock the conscience.’” (*Pinnacle Museum Tower Association v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.)

Plaintiff does not identify any provision in the arbitration agreement that he claims is harsh, oppressive, or so one-sided it shocks the conscience. Plaintiff only points to an apparent lack of mutuality given that Defendant made no promise under the Lease and it strips the consumer

		of a jury trial on statutory claims while giving Defendant a forum advantage at no reciprocal cost. Plaintiff presents no evidence to support the broad assertion of fact on which he predicates his conclusion that Defendant MBUSA receives an advantage without a reciprocal burden. Indeed, regardless of whose claim it is, Defendant gives up a jury trial along with Plaintiff. Further, where the jury waiver stems from the nature of arbitration itself, which is incompatible with a jury trial, unconscionability has been held not to exist. (See <i>Prima Donna Dev. Corp. v. Wells Fargo Bank</i> (2019) 42 Cal.App.5th 22, 43, 44.) In sum, Plaintiff shows some amount of procedural unconscionability but no substantive unconscionability. For these reasons, the court GRANTS Defendant MBUSA's motion to compel arbitration and hereby STAYS the action pending resolution of the parties' binding arbitration. The court VACATES the Case Management Conference scheduled for 09/18/2026. The court hereby SETS a Post Arbitration Status Conference for 04/09/2027 at 8:30 a.m. in Department C16. Plaintiff SHALL file and serve a status report no later than 10 court days before the Post Arbitration Status Conference Hearing. Moving Defendant to give notice.
56	Bacher vs. Prasad 22-01265088	Motion for Attorney Fees The Motion for Attorney Fees brought by Plaintiff Michael Scott Bacher dba Designer Properties is GRANTED, in part. Defendants Ramesh Prasad, Madhu Prasad, and Ajeshni Doreen Singh are jointly ordered to pay attorneys' fees to Plaintiff, pursuant to Civil Code section 1717, in the amount of \$51,195.00. It is undisputed the parties executed a "Buyer Representation Agreement – Exclusive," which includes an attorney fee provision to the prevailing party. (¶13 of Knierim Declaration and Exhibit 1 thereto, at §9 [ROA No. 463].) As judgment was entered against Defendants, with respect to Plaintiff's claim for breach of the above contract (ROA Nos. 224 and 455), Plaintiff is the prevailing party thereon.

		While it is true Plaintiff dismissed his claim for breach of the implied covenant of good faith (See ROA No. 357), this claim was duplicative. (See in <i>Careau & Co. v. Security Pacific Business Credit, Inc.</i> (1990) 222 Cal.App.3d 1371, 1396 and 1401; See also ¶30-¶35 of FAC [ROA No. 77].) Similarly, while Defendants pursued a Cross-Complaint against Plaintiff, which likewise included contract claims, this Cross-Complaint was ultimately dismissed. (ROA No. 215.) Consequently, Plaintiff is “the party who recovered a greater relief in the action on the contract.” (Civ. Code, § 1717, subd. (b)(1).) In opposing this motion, Defendants dispute Plaintiff’s compliance with a mediation provision encompassed within the agreement. The relevant contractual language states as follows: “If, for any dispute or claim to which this paragraph applies, any party (i) commences an action without first attempting to resolve the matter through mediation, or (ii) before commencement of an action, refuses to mediate after a request has been made, then that party shall not be entitled to recover attorney’s fees....” (¶13 of Knierim Declaration and Exhibit 1 thereto, at §11(A).) To establish compliance, Plaintiff attaches a Demand for Mediation made on December 14, 2021. (¶6 of Knierim Declaration and Exhibit 4 thereto.) The evidence indicates Defense Counsel responded to this demand on December 16, 2021, stating: “In accordance with the contract they are willing to participate in mediation...I would suggest using Peter Smith whose resume is attached as a mediator.” (¶7 of Knierim Declaration and Exhibit 5 thereto; See also ¶5 of Mehta Declaration and Exhibit A thereto.) On that same day, Plaintiff’s Counsel stated: “My preference is to use a mediator with broker experience. Attached are CV’s from Roger Moss and Frederic Trester to consider. Their rates are also less. Please review and we can talk tomorrow morning at 9:00 a.m., if you are available.” (¶7 of Knierim Declaration and Exhibit 5 thereto.) Plaintiff, additionally, offers an email dated February 1, 2022, wherein Plaintiff’s Counsel states: “This is a follow up after your clients last communication dated 1-7-2022 and a request for a status update, move forward with the Buyer Representation Agreement or Mediation.” (¶8 of Knierim Declaration and Exhibit 6 thereto.) Subsequent to the above, on April 5, 2022, and again on April 8, 2022, Plaintiff himself emailed Defendants Ajeshni Doreen Singh and Madhu Prasad, requesting a response to the above referenced February 1, 2022, email. (¶10 of Knierim Declaration and Exhibit 8 thereto.) Finally, on May 2, 2022, a formal letter was sent to Defendants, which outlined the nature of the dispute and again requested mediation pursuant to ¶11 of the Buyer Representation Agreement. (¶11 of Knierim Declaration and Exhibit 10 thereto.)
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		Plaintiff has since confirmed that no responses to the above communications were received. (See ¶13-¶17 of Lancaster Declaration [ROA No. 539] and ¶14-¶19 of Bacher Declaration [ROA No. 540].) Given that Plaintiff made multiple mediation requests between February and June of 2022, to which Defendants did not respond, the Court finds Plaintiff complied with the mediation provision. While it is true that Defendants agreed to participate in mediation, on December 16, 2021 (¶17 of Knierim Declaration and Exhibit 5 thereto [ROA No. 463]; See also ¶15 of Mehta Declaration and Exhibit A thereto [ROA No. 510]), their subsequent failure to respond to Plaintiff's mediation-related communications indicates Defendants were unwilling to follow through with their earlier agreement. Thus, while Plaintiff did not schedule a mediation, this was in response to Defendants' apparent rejection of the request. In opposing the motion, Defendants offer an email from Plaintiff's Counsel dated September 14, 2022, wherein Plaintiff again offered mediation. Additionally, Defendants attach an email from former Defense Counsel Patricia Welling, wherein Ms. Welling states "despite Mr. Trester's request for mediation last month, you indicated that the client is now not interested in mediation." (¶17 of Mehta Declaration and Exhibit C thereto.) Defendants suggest the above evidence shows that Plaintiff refused to mediate after a request for mediation was made; however, the relevant contractual provision prohibits recovery of attorneys' fees only where such a refusal occurs "before commencement of an action...." (¶13 of Knierim Declaration and Exhibit 1 thereto, at §11(A).) As the above emails were sent after an action was initiated, they are irrelevant for purposes of determining compliance with ¶11 of the BRAE. Proceeding to the amount of reasonable fees incurred, "the fee setting inquiry in California ordinarily begins with the 'lodestar,' i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate." (PLCM Group v. Drexler (2000) 22 Cal.4th 1084, 1095.) Based on the experience of the identified individuals and the Court's own knowledge of the legal market (See <i>Morris v. Hyundai Motor America</i> (2019) 41 Cal.App.5th 24, 41), the Court approves the following hourly rates: (1) \$400 for Michael J. Lancaster; (2) \$325 for Daneil J. Knierim; (3) \$400 for Fred Trester; and (4) \$130 for Wendy Lee. (See ¶18 of Lancaster Declaration [ROA No. 539], ¶18-¶22 of Knierim Declaration [ROA No. 463]; and ¶13-¶17 Supplemental Knierim Declaration [ROA No. 541].) As previously noted within the order dated June 12, 2026, the Court finds that Plaintiff is not entitled to recover fees incurred solely as the result of litigation against Defendants Agarwal Markarian Holdings, Inc. and
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		Inderjit Ghusar (“Broker Defendants”), as no contractual right to attorneys’ fees has been shown, as against these parties. (See ROA No. 519.) This matter was previously continued with the following instructions: “Plaintiff is ordered to resubmit his billing, with all entries relating solely to litigation against the Broker Defendants removed. Counsel for Plaintiff is also ordered to provide a summary of the work performed, similar to the summary offered within ¶25 of the Knierim Declaration, limited to work performed against the Client Defendants.” (ROA No. 519.) While “verified time statements of the attorneys, as officers of the court, are entitled to credence in the absence of a clear indication the records are erroneous” (<i>Horsford v. Board of Trustees of California State University</i> (2005) 132 Cal.App.4th 359, 396), significant discrepancies exist, between the original Declaration of Daniel Knierim and the Supplemental Declaration of Daniel Knierim, submitted after the Court ordered removal of fees relating to the Broker Defendants. While the overall number of requested hours has been reduced from 703.70 to 579 (Compare ¶25 of Knierim Declaration [ROA No. 463] with ¶10 of Supplemental Knierim Declaration [ROA No. 541]), several individual entries have been inexplicably increased. The hours now claimed for July 2022, September 2022, October 2022, November 2022, July 2023, September 2023, December 2023, March 2024, April 2024, May 2024, July 2024, November 2024, December 2024, February 2025, June 2025, and March 2026, are all higher than originally represented by Counsel. (Compare ¶25 of Knierim Declaration [ROA No. 463] with ¶10 of Supplemental Knierim Declaration [ROA No. 541]) Some of the more egregious examples are as follows: While Plaintiff initially claimed that 9.8 hours of labor was completed in September of 2022 (¶25 of Knierim Declaration [ROA No. 463]), following the purported removal of fees incurred against the Broker Defendants, this figure shot up to 30.3 hours. (¶10 of Supplemental Knierim Declaration [ROA No. 541].) Likewise, while Plaintiff initially claimed that 8.8 and 33.3 hours of labor were completed in April and May of 2024, respectively (¶25 of Knierim Declaration [ROA No. 463]), following the purported removal of fees incurred against the Broker Defendants, these figures shot up to 49.1 and 105.7. (¶10 of Supplemental Knierim Declaration [ROA No. 541].) As a similar example, while Plaintiff previously claimed that 269.8 hours were incurred in 2024 (¶25 of Knierim Declaration [ROA No. 463]), following apportionment, Plaintiff now claims 325.1 hours for this same year. (¶10 of Supplemental Knierim Declaration [ROA No. 541].)
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		With respect to the months with discrepancies, in several instances the attached invoices confirm a lower number of hours were billed, than is currently being claimed. (See ¶9 of Supplemental Knierim Declaration and Exhibits 1, 3, 5, 6, 14, 16, 19, 24, 26, 30, 31, 33 and 45, thereto [ROA No. 541].) “A fee request that appears unreasonably inflated is a special circumstance permitting the trial court to reduce the award or deny one altogether.” (<i>Serrano v. Unruh</i> (1982) 32 Cal.3d 621, 635.) “If...the Court were required to award a reasonable fee when an outrageously unreasonable one has been asked for, claimants would be encouraged to make unreasonable demands, knowing that the only unfavorable consequence of such misconduct would be reduction of their fee to what they should have asked for in the first place. To discourage such greed, a severer reaction is needful.” (Ibid; See also <i>Christian Research Institute v. Alnor</i> (2008) 165 Cal.App.4th 1315, 1321-1322.) “Similarly, counsel may not submit a plethora of noncompensable, vague, blockbilled attorney time entries and expect particularized, individual deletions as the only consequence. The trial court could reasonably conclude counsel made no effort to prune the fee request to comply with the law. Counsel erred grievously by attempting to transfer that responsibility onto the trial court. The trial court could reasonably conclude counsels disregard for the law undercut the credibility of their fee request and, as officers of the court, warranted a severe reaction.” (<i>Christian Research Institute v. Alnor</i> (2008) 165 Cal.App.4th 1315, 1329.) The above unexplained discrepancies severely call into question Counsel’s credibility. In particular, the discrepancies indicate that, rather than removing the billing related to the Broker Defendants as ordered by the Court, Counsel inflated the billing connected to the Client Defendants, to lessen the loss. Given the unexplained increases, the Court finds that “counsel made no effort to prune the fee request to comply with the law.” (<i>Christian Research Institute v. Alnor</i> (2008) 165 Cal.App.4th 1315, 1329.) While the Court arguably has discretion to deny the fee request entirely, the Court will instead strike all fees requested in each inflated month. Consequently, all fees requested in the following months are denied: July 2022, September 2022, October 2022, November 2022, July 2023, September 2023, December 2023, March 2024, April 2024, May 2024, July 2024, November 2024, December 2024, February 2025, June 2025, and March 2026. As indicated above, were the Court to simply reduce the amount of hours to those previously requested: (1) It would remain unclear what portion is attributable to the Broker Defendants; and (2) The same would encourage further inflation attempts in the future.
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		In addition to the above, independent review of the Invoices attached to the Supplemental Declaration of Daniel Knierim, revealed multiple instances wherein the invoices contradict the summary provided by Plaintiff's Counsel. For example, while Plaintiff claims 13.1 hours for January of 2023, 4.9 hours for February of 2023, and 2.5 hours for March of 2023 (¶10 of Supplemental Knierim Declaration [ROA No. 541]), Exhibits 8 through 10 indicate that, after removing fees related to the Broker Defendants, the correct figures are 4.9, 2.5 and 1.4, respectively. (¶9 of Supplemental Knierim Declaration [ROA No. 541].) The Court will reduce the above hours to the amounts reflected within the attached invoices. Finally, the Court finds that the reasonable amount of hours incurred in connection with this motion is 10.0. Applying the above herein, the Court approves the following hours as reasonable: (1) 1.25 for Michael J. Lancaster; (2) 139.2 for Daneil J. Knierim; (3) 0.8 for Fred Trester; and (4) 39.5 for Wendy Lee. Based on all the above and applying the approved hourly rates, Plaintiff is awarded attorney's fees in the amount of \$51,195.00.
57	Little vs. Kohl's, Inc. 24-01422356	Motion for Order Continued pursuant to Court's Minute Order dated 09/10/2026
59	Gonzalez vs. Toyota Motor Sales, U.S.A., Inc. 24-01430398	Motion to Strike or Tax Costs Defendant Toyota Motor Sales, U.S.A., Inc.'s motion to tax costs is DENIED. Defendant moves to tax \$259.41 from Plaintiff's claimed costs. The cost is described as Records Retrieval from Oremor of Tustin, LLC, d/b/a Tustin Toyota. (Plaintiff's Memo. of Costs, p. 4, Attachment 5D.) Plaintiff opposes the motion. Plaintiff is entitled to his "costs and expenses" incurred in pursuing his Song-Beverly Act claims. (Civ. Code, § 1794, subd. (d).) Section 1794(d)

		provides that a prevailing buyer in a Song-Beverly case is entitled to recover “costs and expenses ... determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of [the] action.” (Civ. Code, § 1794, subd. (d).) The phrase “costs and expenses” within the meaning of section 1794(d) covers items not included in the statutory definition of “costs” set forth in Code of Civil Procedure section 1033.5. (<i>Warren v. Kia Motors America, Inc.</i> (2018) 30 Cal.App.5th 24, 42-43.) Plaintiff is also entitled to costs incurred as a matter of right as the prevailing party in this action. (Code Civ. Proc., § 1032, subd. (b); see id., § 1032, subd. (a)(4) [“ ‘Prevailing party’ includes the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, ... and in situations other than as specified, the ‘prevailing party’ shall be as determined by the court...”].) On a motion to strike or tax costs, “[i]f the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs.” (<i>Ladas v. California State Auto. Ass’n</i> (1993) 19 Cal.App.4th 761, 774 (Ladas).) Subdivision (a) of Code of Civil Procedure section 1033.5 lists those costs that are allowable, and subdivision (b) lists those that are not. An item not specifically allowed under subdivision (a) nor prohibited under subdivision (b) may be recovered in the court’s discretion. (See Code Civ. Proc., § 1033.5, subd. (c)(4); <i>Ladas</i>, supra, 19 Cal.App.4th at p. 774.) Any allowable cost, whether expressly allowed or allowed in the court’s discretion, may only be recovered if it is both reasonable in amount and was reasonably necessary to the conduct of the litigation, as opposed to merely convenient or beneficial to its preparation. (Code Civ. Proc., § 1033.5, subd. (c)(2)-(3); see <i>Bender v. County of Los Angeles</i> (2013) 217 Cal.App.4th 968, 989-990 (<i>Bender</i>).) Initially, Defendant has not met its burden to show the costs were not recoverable. Assuming arguendo that Defendant had met its burden, Plaintiff has established that the claimed cost is related to obtaining records from a Toyota authorized repair facility, Oremor of Tustin, via Deposition Subpoena. The Court finds this cost to be reasonable and necessary to the conduct of litigation. The motion to tax is DENIED. Moving Party to give notice.
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60	Diliberto vs. Surgical Care Affiliates, LLC 23-01358521	Motion for Leave to File Amended Complaint The Motion for Leave to File a Third Amended Complaint filed by Plaintiff Jay P. Diliberto, M.D., is DENIED, for lack of service. The instant Motion for Leave to Amend was filed on August 18, 2026 (ROA No. 581); however, the Motion is not accompanied by proof of service. Additionally, while California Rules of Court rule 3.1300(c) allows a proof of service to be filed “no later than five court days before the time appointed for the hearing,” Plaintiff did not comply with this rule. Given the motion has not been opposed, the Court cannot find this service defect has been waived.
61	Snell vs. Costco Wholesale Corporation 23-01354070	1. Motion to Compel 2. Motion for Summary Judgment and/or Adjudication Motion to Compel Defendant Costco Wholesale Corporation to Pay All Discovery Referee Fees Plaintiff Mark Snell’s motion to compel Defendant Costco Wholesale Corporation (“Costco”) to pay all fees and costs of the discovery referee appoint in the instant action is DENIED. On February 12, 2025, Plaintiff filed a motion seeking terminating, issue, evidentiary, and monetary sanctions against Defendant Costco. (ROA 254.) In its opposition to the sanctions motion, Costco requested the appointment of a discovery referee. (See ROA 276.) On August 1, 2025, the Court granted Costco’s request to appoint a discovery referee. (ROA 283.) Among other things, the Court found that “Plaintiff has taken an aggressive approach to discovery which undermines the intent for civil discovery to operate with minimal judicial intervention.” (Id.) As examples, the Court cited Plaintiff’s filing of the sanctions motion rather than engaging in further meet and confer efforts, Plaintiff’s refusal to sign a protective order, and the seven discovery motions Plaintiff had filed to date. (Id.) The Court further found that appointing a discovery referee would ensure that the discovery process is conducted efficiently and stated that it would issue a separate order describing the method for the process of appointing the discovery referee. (Id.) On August 6, 2025, the Court issued an order regarding the appointment of the discovery referee. (ROA 285.) The order directed that: “Counsel shall meet and confer to determine if they are able to submit a stipulation for the appointment of a specific qualified individual to act as a discovery referee. The stipulation shall meet the requirements of CCP

sections 639 and 640. If counsel cannot agree on the selection of a referee within 30 days of this ruling and submit a stipulation, each party shall submit the name of three nominees for appointment pursuant to CCP Section 640(b). The Court will select a referee against whom there is no legal objection. [¶] After the 30-day period, if parties do not submit a list with proposed names, then the Court will appoint one.” (Id.)

On August 25, 2025, Plaintiff’s counsel advised Defendants’ counsel via email that Defendants’ proposed discovery referees “are too expensive and not worth it. We are going to send you cheaper ones who aren’t affiliated with any of the major ADR companies.” (MacRill Decl. ¶ 5, Exh. C [ROA 326].) Plaintiff’s counsel, however, did not provide Defendants’ counsel with any proposed alternative referees. (Id.; see also ROA.)

On September 5, 2025, Defendants submitted their proposed list of discovery referees to the Court. (ROA 290.) Defendants’ list included the Hon. Elizabeth R. Feffer, Ret. (Id.) Plaintiff did not submit any proposed discovery referees to the Court. (See ROA.) Similarly, Plaintiff did not file any objections to the appointment of a discovery referee or to the referees proposed by Defendants. (See id.)

On October 2, 2025, the Court entered an Order Appointing Referee (“Referee Order”). (ROA 291.) The Referee Order appointed Hon. Elizabeth R. Feffer (Ret.) as referee pursuant to Code of Civil Procedure section 639, stating “[i]t is necessary for the court to appoint a referee to hear and determine any and all discovery motions and disputes relevant to discovery in the action and to report findings and make a recommendation.” (Id.) The Referee Order also indicates that “[n]o party has established an economic inability to pay a pro rata share of the referee’s fees” and ordered “[a]ll parties to pay equal shares of the referee’s fees.” (Id.)

On October 14, 2025, the Honorable Elizabeth Feffer, Retired Judge of Los Angeles County Superior Court, consented to act as Referee in the matter. (ROA 294.)

Plaintiff filed the instant motion to compel Costo to pay all discovery referee fees and costs on December 3, 2025. (ROA 296.)

Timeliness of Plaintiff’s Claim

Code of Civil Procedure section 639, subdivision (a)(5), provides the trial court may appoint a referee to hear and decide discovery motions and to apportion payment of the referee’s fees among the parties. Code of Civil Procedure section 639, subdivision (d)(6)(A), requires the trial court to determine whether any party “has established an economic inability to pay a pro rata share of the referee’s fee.” “[I]n determining whether a party has established an inability to pay the fees, [the court] shall consider, among other things, the estimated cost of the referral and the

		impact of the proposed fees on the party’s ability to proceed with the litigation.” (Code Civ. Proc., § 639, subd. (d)(6)(B).) In addition, Code of Civil Procedure section 645.1, subdivision (b), provides the court, in appointing a referee under section 639, “may order the parties to pay the fees of referees ... in any manner determined by the court to be fair and reasonable, including an apportionment of the fees among the parties.” In <i>McDonald v. Superior Court</i> (1994) 22 Cal.App.4th 364, the Court of Appeal held “that whenever the issue of economic hardship is raised before the commencement of the referee’s work, the referring court must determine a fair and reasonable apportionment of reference costs before issuing its order.” (Id. at p. 370.) Here, neither party has indicated whether the discovery referee, Hon. Elizabeth R. Feffer (Ret.), has commenced with work in this matter. Nevertheless, neither McDonald nor Code of Civil Procedure section 639 forecloses reconsideration of a fair and reasonable apportionment of costs after issuance of a referee order. The Court exercises its discretion to determine whether Plaintiff has established an economic inability to pay a pro rata share of the referee’s fee. <u>Plaintiff’s Claimed Inability to Pay Referee Fees</u> As an initial matter, the Court notes that there were several opportunities for Plaintiff to demonstrate any inability to bear the costs of the discovery reference. Plaintiff and his counsel, however, did not present any evidence of indigency or inability to pay until after the Referee Order was issued. In determining whether a particular party has established an inability to pay the referee’s fee, the court must consider only the ability of the party, not the party’s counsel, to pay that fee. (Code Civ. Proc., § 639, subd. (d)(6)(B).) A party that is proceeding in forma pauperis is deemed to have an economic inability to pay the referee’s fee. (Id.) A determination of economic inability to pay the fee is not limited to parties that proceed in forma pauperis. For parties that do not have fee waivers, the court may consider the estimated cost of the referral and the impact of the proposed fee on the parties’ ability to proceed with the litigation. (Id.) Plaintiff submitted a declaration in support of his claimed inability to pay referee fees. (See ROA 296.) Plaintiff declares that he is an individual of modest financial means and his financial resources are limited. (Snell Decl. ¶ 2.) Plaintiff is retired from his primary career and currently relies on a fixed income stream with significant monthly obligations. (Id.) Plaintiff states that requiring him to pay any portion of the discovery referee’s fees would impose significant financial hardship and that he does not have the financial capacity to contribute to the referee fees without seriously jeopardizing his ability to meet essential obligations.
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		(Id. at ¶ 3.) Plaintiff declares that if he is compelled to pay any share of the referee fees, he would potentially be required to incur debt or delay payment of necessary expenses, including the potential need to seek bankruptcy protection. (Id. at ¶ 4.) The costs are beyond his practical ability to pay and would hinder his ability to participate meaningfully in discovery and prosecute his case. (Id.) Plaintiff's declaration is insufficient to demonstrate an inability to pay any referee fees. Without any detail or explanation, Plaintiff's conclusory statements have limited credibility. Although a sworn statement of hardship with some financial information may be sufficient, Plaintiff's declaration lacks the supporting financial context. (See <i>Hood v. Superior Court</i> (1999) 72 Cal.App.4th 446, 449-450 [sworn declaration and statement of income and expenses were sufficient to justify a referee fee waiver].) Although the court offered Plaintiff the opportunity to file a supplemental declaration with additional financial information or financial statements (ROA 354), Plaintiff did not file any supplemental information. (ROA 354 [07/17/26 Minute Order].) The motion is denied. Defendant Costco Wholesale Corporation to give notice. Defendants Costco Wholesale Corporation, Brian McCutcheon, and Lashan Ford's motion for summary judgment in favor of Defendants and against Plaintiff Mark Snell is DENIED. Plaintiff's objections to the Declaration of Amber Joseph are overruled. Defendants' objections to the Declaration of Daniel Conte are overruled. Defendants' objections to the Declaration of Mark Snell are overruled. Objection Nos. 6, 7, 10, 12, 17, 19, and 20 to the Declaration of Jerry Birnbach are overruled. The remaining objections are sustained. "Summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Civil Proc. Code, § 437c, subd. (c).) "A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, . . . or that one or more defendants either owed or
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	did not owe a duty to the plaintiff or plaintiffs. (Civil Proc. Code, § 437c, subd. (f)(1).) A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (Id. at 851.) If the moving party meets its burden, the burden then shifts to the party opposing summary judgment to show, by reference to specific facts, the existence of a triable, material issue as to a cause of action or an affirmative defense. (<i>Aguilar v. Atlantic Richfield Co.</i>, supra, 25 Cal.4th at p. 855; <i>Villacres v. ABM Industries, Inc.</i> (2010) 189 Cal.App.4th 562, 575.) <u>Motion for Summary Adjudication</u> Although Defendants style their motion as a motion for summary judgment or, in the alternative, summary adjudication, Defendants’ motion papers do not comply with California Rule of Court 3.1350, subdivision (b). Defendants’ notice of motion states: “In this alternative, Defendants will, and hereby do, move for summary adjudication of the following issues individually” and proceeds to list 16 issues (Notice of Motion at 2:27-4:14.) In light of the number of issues for which Defendants seek adjudication, the lack of compliance with rule 3.1350, subdivision (b) hinders Plaintiff’s ability to respond and impairs the Court’s ability to marshal evidence to show the material facts in dispute for Issue Nos. 1-14. The motion for summary adjudication is DENIED as to Issue Nos. 1-14. Issue Nos. 15 and 16 address the third cause of action for product liability and the fourth cause of action for negligent hiring and supervision, respectively. (Notice of Motion at 4:9-14.) These causes of action are stated specifically in the Notice of Motion and are sufficiently identified in Defendants’ Separate Statement. Defendants’ failure to transfer the language verbatim is not prejudicial. <u>First Cause of Action for Negligence and Second Cause of Action for Premises Liability</u> The Complaint alleges Defendants manufactured, distributed, and sold the Lifetime outdoor storage shed. (Compl. ¶ 18.) The Lifetime outdoor storage shed packaged in large boxes, which should have contained clear and visible warning labels regarding the potential risks associated with the product. (Id. at ¶ 19.) Defendants failed to provide adequate warning labels on the boxes and further failed to position the boxes in a manner that made the warning labels easily noticeable or accessible to customers. (Id. at ¶ 21.) The Complaint further alleges Defendants negligently stacked the boxes in an unsafe manner. (Id. at ¶ 22.) As a
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		result of the improper stacking, when a customer attempted to pull a box off of the stack, the boxes became unstable and resulted in the box containing the Lifetime outdoor storage shed falling on Plaintiff. (Id. at ¶ 23.) The failure to warn customers, make warning labels apparent, properly stack the boxes, and post warning signs directing patrons to seek assistance from a team member were all breaches of Defendants’ duty of care. (Id. at ¶ 24.) The failures directly contributed to Plaintiff’s injuries and constituted a substantial factor in causing Plaintiff harm. (Id. at ¶ 25.) “ ‘The elements of a cause of action for premises liability are the same as those for negligence.’ [Citation.] Accordingly, the plaintiff must prove, ‘a legal duty to use due care, a breach of such legal duty, and the breach as the proximate or legal cause of the resulting injury.’ ” (Jones v. Awad (2019) 39 Cal.App.5th 1200, 1207.) Premises liability is grounded in possession and control of the premises, and “control is defined as the power to prevent, remedy or guard against the dangerous condition. [Citation.]” (Colonial Van & Storage, Inc. v. Superior Court (2022) 76 Cal.App.5th 487, 497 [internal quotation marks omitted].) “It is well established in California that although a store owner is not an insurer of the safety of its patrons, the owner does owe them a duty to exercise reasonable care in keeping the premises reasonably safe. [Citation.]” (Ortega v. Kmart Corp. (2001) 26 Cal.4th 1200, 1205.) “A store owner exercises ordinary care by making reasonable inspections of the portions of the premises open to customers, and the care required is commensurate with the risks involved. [Citation.] If the owner operates a self-service grocery store, where customers are invited to inspect, remove, and replace goods on shelves, “the exercise of ordinary care may require the owner to take greater precautions and make more frequent inspections than would otherwise be needed to safeguard against the possibility that such a customer may create a dangerous condition by disarranging the merchandise” and creating potentially hazardous conditions. [Citation.]” (Id.) “Businesses have a common law duty of ordinary care to their customers that extends to every area of the store in which they are likely to shop.” (Hassaine v. Club Demonstration Services, Inc. (2022) 77 Cal.App.5th 843, 847.) Dangerous Condition The Complaint alleges Defendants breached their duty of care by stacking boxes in an unsafe manner and by failing to provide adequate warning labels on the boxes. (Compl. ¶ 22.) Defendants contend they did not breach any duty to Plaintiff because they were not negligent in the control, use, inspection, management, or maintenance of the subject warehouse at the time of the incident. The boxes were stacked safely, and Defendants did not create the dangerous
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	condition. In support of their argument, Defendants submitted a declaration by their expert, Amber Joseph, in which she concluded Costco maintained the premises in a reasonably safe condition. (Defendants Compendium of Evidence (“COE”), Exh. K, Joseph Decl. ¶ 22.) Joseph stated that there is no evidence that the subject box or its stack was unstable prior to the customer’s intervention and concluded the subject box became unstable only after the customer attempted to remove it from the top of the stack. (Id.) Defendants also provided Plaintiff’s deposition in which he recounted the incident. (Defendants COE, Exh. E, Snell Depo. Tr. Vol. I at 54:4-55:23.) Defendants met their initial burden to show Defendants did not breach their duty of care. Jill Wyatt, Costco’s National Safety Manager supporting US operations, testified that Costco likes to put merchandise on the floor as they are stacked by the supplier. She would expect that the shed boxes would be stacked in the amount Lifetime sent the items. (Plaintiff COE, Exh. DD, Wyatt Decl. at 6:21-22, 54:18-55:3.) This protocol is to protect the safety of Costco’s members and employees and also to meet the structural packaging specs and tech data. (Id. at 55:55:4-8.) Plaintiff’s expert, Jerry Birnbach, identified Figure 8 as the manufacturer’s own specification sheet. (Plaintiff COE, Exh. AA, Birnbach Decl. ¶ 7a, Fig. 8.) Figure 8 indicates the “Cartons Per Unit Load” is 4 and includes a diagram showing four cartons stacked on a pallet. (Id.) Plaintiff has also submitted evidence that the boxes are between 11-12 inches in height, about 94 inches in length, and 32 inches in width, with the weight being at least 223.5 lbs. (Plaintiff COE, Exh. AA, Birnbach Decl. ¶ 7a., Fig. 8, 10-12.) The dimensions provided for the boxes in Figure 11 (94”x32”x11” or 94”x32”x12”) is commensurate with the dimensions given for the assembled shed in Figure 12 (58”Dx94”Wx84”H) and the model shed in the provided photos. (Compare Plaintiff COE, Exh. AA, Birnbach Decl. ¶ 7a, Fig. 8, 10-12 with Defendants NOL, Exh. E, Snell Depo. Tr. Vol. I, Exhs. 2, 2.1, 2.2, 2.3, 2.4.) Defendants acknowledge that the shed boxes are oversized, and that a combination of factors, including the length of the box and its elevation above the floor is consistent with it being heavy to handle, and awkward. (Plaintiff COE, Exh. DD, Wyatt Decl. at 59:4-11; Defendants COE, Exh. K, Joseph Decl. ¶ 17.) Plaintiff’s expert declared that stacking the shed boxes six units high created an inherently dangerous condition. (Plaintiff COE, Exh. AA, Birnbach Decl. ¶¶ 7a-b, i.) Birnbach opined that Costco “breached the standard of care imposed upon retail merchants not only by allowing its employees to stack the boxes that high, but also by allowing customers to attempt to remove the shed kits themselves.” (Id. at ¶ 7b.) Plaintiff met his shifted burden to show a triable issue of material fact regarding the existence of a dangerous condition. A reasonable factfinder could conclude Defendants did not safely stack the shed boxes in an aisle where customers are invited to inspect and
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remove goods. Additionally, where a store owner or its employees create a hazardous condition, the owner cannot claim it lacked notice of the condition. (*Hatfield v. Levy Bros.* (1941) 18 Cal.2d 798, 806; see also *Getchell v. Rogers Jewelry* (2012) 203 Cal.App.4th 381, 385 [where dangerous condition is created by employees of the defendant, defendant is charged with notice of the condition].)

Open and Obvious

Defendants next contend that if the stacked shed boxes constitutes a dangerous condition, then it was an open and obvious condition such that Defendants did not have a duty to warn or remedy the condition.

“Generally, if a danger is so obvious that a person could reasonably be expected to see it, the condition itself serves as a warning, and the landowner is under no further duty to remedy or warn of the condition.” (*Krongos v. Pacific Gas & Electric Co.* (1992) 7 Cal.App.4th 387, 393.)

Defendants set forth evidence that the box at issue “along with the stack were stored on commercial-grade pallets stacked six high in a static position.” (Defendants COE, Exh. K, Joseph Decl. ¶ 20.) Plaintiff testified that he did not think the subject box would be as heavy as it was given how high the shed boxes were stacked. (Defendants NOL, Exh. E, Snell Depo. Tr. Vol. I at 55:7-9, 66:18-21.) Plaintiff has shown there is a triable issue of fact as to whether the stacked shed boxes were an obviously unsafe condition.

Even if an unsafe condition is open and obvious, a landowner may have a duty to remedy the condition, “when it is foreseeable that, because of necessity or other circumstances, a person may choose to encounter the condition.” (*Jacobs v. Coldwell Banker Residential Brokerage Co.* (2017) 14 Cal.App.5th 438, 447; see also *Osborn v. Mission Ready Mix* (1990) 224 Cal.App.3d 104, 122 [“Thus, although the obviousness of a danger may obviate the duty to warn of its existence, if it is foreseeable that the danger may cause injury despite the fact that it is obvious (for example, when necessity requires persons to encounter it), there may be a duty to remedy the danger, and the breach of that duty may in turn form the basis for liability, if the breach of duty was a proximate cause of any injury.”].)

The question of whether it was foreseeable that a customer would try to remove the shed box from the stack despite the fact that it may be an obviously unsafe condition presents a triable issue of fact. “As a warehouse retailer, Costco is in the business of displaying products for customers to assess, select, and purchase.” (Plaintiff COE, Exh. AA, Birnbach Decl. ¶ 5, Exh. 5, Expert Report at p. 4.) “Many of the products available at Costco are bulky and heavy” and “Costco invited customers to attempt to heft the shed kits themselves” (Id.) A factfinder may reasonably conclude based on the evidence that injury to a customer was

foreseeable. Accordingly, a jury must resolve this factual issue before the court may reach the legal conclusion that Defendants owed a duty to remedy the stacked boxes.

Rescue Doctrine

Defendants also contend Plaintiff cannot establish the causation element because the unidentified customer's conduct and Plaintiff's intervention broke the causal chain. Plaintiff contends that the rescue doctrine permits recovery. " '[T]he rescue doctrine varies the ordinary rules of negligence ... [as] it permits the rescuer to sue on the basis of defendant's initial negligence toward the party rescued' (*Solgaard v. Guy F. Atkinson Co.* (1971) 6 Cal.3d 361, 368, 99 Cal.Rptr. 29, 491 P.2d 821.) '[P]ersons injured in the course of undertaking a necessary rescue may, absent rash or reckless conduct on their part, recover from the person whose negligence created the peril which necessitated the rescue.' (*Ibid.*) In order to assert the rescue doctrine, the rescuer must show that there was someone in peril and that he acted to rescue such person from the peril. (*Henshaw v. Belyea* (1934) 220 Cal. 458, 463–464, 31 P.2d 348 (*Henshaw*).)" (*Tucker v. CBS Radio Stations, Inc.* (2011) 194 Cal.App.4th 1246, 1252.) "The theory which underlies the rescue rule is, in essence, that 'rescuers, as a class, are always foreseeable when the defendant's negligence endangers anyone.' [Citation.] Thus, if defendant creates a situation of peril for one person (the victim), defendant properly may be charged with having proximately caused not only that peril but also the rescue and any injury suffered during its course. [Citation.]" (*Solgaard*, *supra*, 6 Cal.3d at p. 368.) "[A]lthough the rescuer may be said to have willingly exposed himself to the danger, such act does not eliminate or excuse the culpability created by the [defendant's] negligence. (*Sears v. Morrison* (1999) 76 Cal.App.4th 577, 580.)

Here, as discussed above, there are triable issues of fact regarding Defendants' negligence in creating a dangerous condition. Additionally, the record contains substantial evidence from which one could conclude that there was a rescue attempt by Plaintiff. (See e.g. Defendants COE, Exh. E, Snell Depo. Tr. Vol. I at 54:4-55:23.) Whether Defendants' negligence was the cause of the rescue attempt is a question for the factfinder. (*C.F. v. Alternative Family Services, Inc.* (2026) 120 Cal.App.5th 1208, 1230.)

Based on the foregoing, Defendants have not shown the action has no merit. The motion for summary judgment is denied.

Third Cause of Action for Product Liability (CACI 1205)

The third cause of action for product liability alleges Costco manufactured, distributed, and sold the Lifetime outdoor storage shed. (Compl. ¶ 40.) The Lifetime outdoor storage shed was accompanied by

		packaging or labels that did not contain clear and visible warning labels regarding the potential risks associated with the product. (Id. at ¶ 41.) The potential risks associated with the Lifetime outdoor storage shed were not apparent or adequately communicated to customers due to the absence or lack of visibility of warning labels, which led to ordinary customers not recognizing the potential risks. (Id. at ¶¶ 42-43.) The elements of a cause of action for strict liability failure to warn are: (1) defendant manufactured the product; (2) the product had potential risks that were known or knowable in light of the scientific knowledge that was generally accepted in the scientific community at the time of manufacture; (3) the potential risks presented a substantial danger when the product was used or misused in an intended or reasonably foreseeable way; (4) ordinary consumers would not have recognized the potential risks; (5) defendant failed to adequately warn of the potential risks; (6) plaintiff was harmed; and (7) the lack of sufficient warnings was a substantial factor in causing plaintiff's harm. (CACI No. 1205; see also <i>Anderson v. Owens-Corning Fiberglas Corp.</i> (1991) 53 Cal.3d 987, 995–1004.) “There is no duty to warn of known risks or obvious dangers.” (<i>Chavez v. Glock, Inc.</i> (2012) 207 Cal.App.4th 1283, 1304.) Defendants contend Plaintiff cannot show that the lack of sufficient warnings was a substantial factor in causing Plaintiff's harm. It is undisputed the “potential risk” at issue is the Lifetime outdoor shed's bulk and heavy weight. (See Plaintiff COE, Exh. AA, Birnbach Decl. ¶ 7d, Exh. 5, Expert Report at p. 5; Exh. BB, Snell Decl. ¶¶ 2-3.) Defendant provided evidence demonstrating that, at the time of the incident, Plaintiff understood that he could ask a Costco employee for assistance for whatever reason. (Defendants Notice of Lodging (“NOL”), Exh. E, Snell Depo. Tr. Vol. I at 42:8-16.) Plaintiff looked for a Costco employee when Plaintiff saw the customer was struggling. (Id. at 56:5-11, 66:9-11.) Further, Defendant argues Plaintiff appreciated the risks of helping the other customer; Plaintiff could see the other customer struggling with the box. (Id. at 54:17-18, 54:22, 56:5-6, 59:21-60:1, 63:5-6, 63:11, 66:11.) Plaintiff declared that at the time of the incident, he “was not aware of the weight or actual dimensions of the subject shed box that caused [his] injury” and that “no Costco employee made it known to [Plaintiff] that they were able (or supposed) to help me retrieve any of the boxes, much less was there any displayed signage to advise me of such, or otherwise indicate the boxes were too heavy or too large for an individual like [himself] to handle.” (Plaintiff COE, Exh. BB, Snell Decl. ¶ 3.) Moreover, Plaintiff's testimony indicates Plaintiff observed the customer struggle with the shed box while the box was stuck underneath the model shed's roof. (Defendants NOL, Exh. E, Snell Depo. Tr. Vol. I at 54:17-22, 59:21-60:1, 63:5-10, 66:11-13, 92:22-93:5.) Plaintiff did not register the heavy
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weight of the box until the box started to come off the stack. (Id. at 55:2-9, 66:18-20.) There is a triable issue of fact as to whether the lack of warnings was a substantial factor in causing Plaintiff's harm. The motion for summary adjudication is denied as to Issue No. 15.

Fourth Cause of Action for Negligent Hiring and Supervision

The fourth cause of action for negligent hiring and supervision alleges Costco negligently hired, supervised, or retained Zandra Davidson and DOES 11-25, that Davidson and DOES 11-25 were unfit to perform their job duties, and that Defendants knew or should have known that Davidson and DOES 11-25 were unfit and that their unfitness created a risk to invitees such as Plaintiff. (Compl. ¶ 50.) The Complaint further alleges Costco and DOES 1-10 failed to properly and completely conduct a comprehensive pre-employment interview process and reference checks as to Zandra Davidson and DOES 11-25 and ignored the content of probationary period job performance evaluations, other periodic job performance evaluations and/or disciplinary processes as to Zandra Davidson and DOES 11-25. (Id. at ¶¶ 52-53.)

"California case law recognizes the theory that an employer can be liable to a third person for negligently hiring, supervising, or retaining an unfit employee. [Citation.] Liability is based upon the fact that the employer knew or should have known that hiring the employee created a particular risk or hazard and that particular harm materializes. [Citation.]" (*Doe v. Capital Cities* (1996) 50 Cal.App.4th 1038, 1054 (*Doe*).) " " "Liability results ... not because of the relation of the parties but because the employer antecedently had reason to believe that an undue risk of harm would exist because of the employment...." [Citation.]' [Citations.]" (*Federico v. Superior Court* (1997) 59 Cal.App.4th 1207, 1214.)

Defendants contend Plaintiff cannot establish an essential element of negligent supervision because no employee was involved in the incident. Defendants cite to Plaintiff's testimony that he did not see any Costco employees to assist the struggling customer. (Defendants NOL, Exh. E, Snell Depo. Tr. Vol. I at 66:9-11.)

Defendants did not meet their initial burden to show the negligent supervision cause of action has no merit. As previously discussed, there are triable issues of fact regarding whether Defendants created a dangerous condition by stacking the shed boxes in an unsafe manner. That no Costco employees were present during the subject incident does not absolve Defendants from their duty to supervise or train employees to safely position the shed boxes. The motion for summary adjudication is denied as to the fourth cause of action.

Individual Defendants

		In their Reply, Defendants assert that Plaintiff's Opposition does not identify admissible evidence that individual Defendants Brian McCutcheon and Lashan Ford personally created the condition, knew of it before the incident, directed the customer's conduct, or caused Plaintiff's injury. (ROA 368 at 11:16-20.) Arguments concerning the individual Defendants were not raised in Defendants' opening brief and, thus, are forfeited. "Points raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the [responding party] of an opportunity to counter the argument." (<i>American Drug Stores, Inc. v. Stroh</i> (1992) 10 Cal.App.4th 1446, 1453.) Additionally, as the parties moving for summary judgment, Defendants bear the burden of persuasion that there is no triable issue of material fact and that they are entitled to judgment as a matter of law. (<i>Aguilar</i>, supra, 25 Cal.4th at p. 850.) They have not met this burden here. To the extent Defendants Brian McCutcheon and Lashan Ford move for summary judgment, the motion is denied. Plaintiff to give notice.